25900780 **A**

Reg.No : .....

Name : .....

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS) REGULAR EXAMINATION NOVEMBER 2025

FIRST SEMESTER

Multi-Disciplinary Courses (MDC) - MG1MDCCOM101 - PERSONAL FINANCE AND PLANNING

(2024 ADMISSION ONWARDS)

Duration: 1 Hours **Maximum Marks: 50**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

Multiple Choice Questions

Answer Any **30** Questions

Each Question carries **1** mark

1. _____ is the step in financial planning process which involves regularly reviewing progress. [U] / [CO1]

   a). Implementation b). Evaluation

   c). Analysis d). Monitoring

2. _____is a cause of inflation. [U] / [CO1]

   a). Decrease in money supply b). Increase in money supply

   c). Decrease in aggregate demand d). Increase in productivity

3. What is a consequence of not setting financial goals? [K] / [CO1]

a). Reduced savings b). Increased debt

c). Lack of financial focus d). All the options provided

4. NPS was introduced by _____ [U] / [CO4]

a). Central Government b). State Government

c). RBI d). SBI

5. _____ is a long term investment scheme with a long tenure. [U] / [CO4]

a). NPS b). PPF

c). EPF d). None of the options provided

6. In terms of financial goal, _____ is the primary difference between savings and investment. [U] / [CO1]

a). Savings is for short-term goals, investment is for long-term goals b). Savings is for long-term goals, investment is for short-term goals

c). Savings and investment have same financial goal d). Financial goal is irrelevant

7. Which among the following options, is a savings strategy? [U] / [CO1]

a). Saving a fixed amount regularly b). Spending more than earning

c). Investing in high-risk assets d). Avoiding emergency funds

8. Which of the following portfolio is likely to be most diversified? [A] / [CO2]

a). A portfolio with only technology stocks b). A portfolio with mix of stocks bonds and real estate

c). A portfolio with cash and stocks d). A portfolio with cash and cash equivalents

9. Demat account is used to hold _____ [U] / [CO2]

a). Real estate b). Mutual fund,Stocks and bonds

c). Cash savings d). Foreign Currency

10. What might happen if a homeowner doesn’t have insurance and their house is damaged in a fire? [An] / [CO3]

a). The homeowner may have to pay for repairs out of their own pocket

b). The government will pay for the repairs

c). The damage will not need to be repaired

d). The bank will cover all costs

11. Which of the following is not a goal of retirement planning? [U] / [CO4]

a). To have enough income to cover post-retirement expenses

b). To minimize taxes on retirement income

c). To maximize debt in retirement

d). To maintain the same standard of living

12. What happens when you don't invest wisely? [U] / [CO1]

a). You lose money

b). You save more

c). You reduce risk

d). You gain more

13. Basic definition of risk is _____ [U] / [CO3]

a). Certainty of an outcome

b). Possibility of a loss

c). Profit-making

d). No chances of failure

14. What is GIC primarily known for? [U] / [CO3]

a). Life insurance

b). Investment banking

c). General insurance

d). Health insurance

15. _____ has the feature of both protection and investment [U] / [CO3]

a). Life Insurance

b). Car insurance

c). Fire Insurance

d). Theft insurance

16. Active income means _____ [U] / [CO1]

a). Earnings from investments

b). Salary or wages from a job

c). Rent or dividend income d). Royalty income

17. _____ is the fixed sum of money which the insured undertakes to pay to the insurer on taking up an insurance policy. [A] / [CO3]

a). Annuity b). Premium

c). Guarantee d). Installment

18. What is the relationship between money and finance? [U] / [CO1]

a). Money is a tool for finance b). Finance is a tool for money

c). Money and finance are separate d). Money and finance are interchangeable

19. Maternity health insurance provides coverage for which of the following? [An] / [CO3]

a). All types of surgeries b). Expenses related to childbirth and newborn care

c). Accidents d). Life-threatening illnesses

20. The main risk attached with real estate investment is _____ [U] / [CO2]

a). Low Returns b). Market fluctuations

c). Lack of liuidity d). High maintenance costs

21. KYC means _____ [K] / [CO2]

a). Know your customer b). Know your company

c). Keep your credit d). Know your capital

22. _____ regulates the functioning of Depository Particpants in India. [U] / [CO2]

a). SEBI b). RBI

c). IDBI d). PFRDA

23. The value of bond depends on _____ [U] / [CO2]

a). Coupon rate b). Years to maturity

c). Expected yield to maturity d). All the options provided

24. Which one of the following is not a participant of cryptocurrency market ? [U] / [CO2]

a). Miners b). Retail Traders

c). Wholesale Traders d). Government

25. What is the main purpose of Section 80D in the Income Tax Act? [U] / [CO3]

a). To provide tax benefits for health insurance premiums b). To reduce the tax rate for senior citizens

c). To allow tax-free withdrawals from retirement accounts d). To exempt life insurance policies from tax

26. Which investment type is most likely to preserve purchasing power during inflation? [A] / [CO2]

a). Gold b). Savings account

c). Fixed rate bonds d). Cash savings

27. Secured debentures are also known as _____ [U] / [CO2]

a). Naked debentures. b). Mortgage debentures.

c). Unsecured debentures d). None of the options provided

28. Which document is usually not needed to open a bank account? [A] / [CO2]

a). Social security number b). Proof of employment

c). Valid photo ID d). Initial deposit amount

29. _____ is the investment avenuewhich is subject to Long Term Capital Gain tax. [A] / [CO2]

a). Savings deposit b). Current deposit

c). Fixed deposit d). Real estate

30. Who can open a savings account? [U] / [CO2]

a). Businessman b). Government Employee

c). Anyone with validID and address proof

d). Only students

31. Interest in _____ is calculated on daily balance and credited quarterly. [U] / [CO2]

a). Savings Deposit

b). Recurring Deposit

c). Current Account

d). Fixed Deposit

32. The ability to convert an asset easily without affecting its price is referred to as _____ [U] / [CO2]

a). Scalability

b). Liquidity

c). Marketability

d). Minimal Risk

[30x1 = 30]

Part B

Multiple Choice Questions

Answer Any **10** Questions

Each Question carries **2** marks

33. Assertion: Equity Shares provide fixed Dividend Reason:Equity shares are owners of the company [A] / [CO2]

a). Both assertion and reason are true

b). Assertion is True but Reason is false

c). Assertion is False But Reason is True

d). Both assertion and reason are false

34. A. An investment is said to be liquid if it can be converted into cash without any delay. B. Certain investments offers tax benefits whereas others do not. [U] / [CO2]

a). Only A is correct

b). Only B is correct.

c). Both A and B are correct

d). Both A and B are incorrect

35. The process by which one choose the securities, derivatives and other assets include in a portfolio is known as _____ [U] / [CO2]

a). Portfolio selection

b). Portfolio analysis

c). Portfolio implementation

d). Portfolio appraisal

36. Digital rupee is released on----------by ------- [U] / [CO2]

a). 1st December 2022, SEBI
b). 1st december 2022,RBI
c). 1st December 2022 ,World Bank
d). 1st january 2023 , RBI

37. Assertion (A) : Digital gold allows investors to buy and sell gold online. [U] / [CO2]
Reasoning (R) Digital gold requires physical storage

a). Both A and R are true
b). A is true, but R is false
c). A is false but R is true
d). both A and R are false

38. _____ is not an objective of mutual funds. [U] / [CO2]

a). Consistent Investment Process
b). Strong Fund Management
c). Diversity in interest rates
d). Differences from the bench mark

39. Suppose you invested Rs.5000 in a stock that increased by 10%. How much would your investment be worth? [U] / [CO1]

a). Rs.5000
b). Rs.5500
c). Rs.6500
d). Rs.7000

40. _____ prioritizes financial returns over social welfare. [U] / [CO1]

a). Private finance
b). Social finance
c). Both private finance and social finance
d). Neither private finance nor social finance

41. A sum of Rs.10000 invested at a rate of 5% then find the total amount gained after 2 years under simple interest.. [U] / [CO1]

a). Rs.11000
b). Rs.15000
c). Rs.14500
d). Rs.10025

42. Which of the following is a common method for mitigating risks? [U] / [CO3]

a). Increasing the number of employees
b). Providing training and safety measures

c). Reducing marketing budgets d). Ignoring customer feedback

43. Which of the following is TRUE about life insurance? i) Provides safety and security ii) Provides financial stability to people iii) Makes savings possible iv) Insurance distributes risk [An] / [CO3]

a). Only ii, iii and iv are correct b). Only i and iv are correct

c). Only i, ii, iv are correct d). i, ii, iii and iv are correct

44. During the application process, you are asked about your medical history. Why is this information crucial for the insurer? [An] / [CO3]

a). To gather data for market research b). To establish a relationship with your healthcare provider

c). To evaluate the risk of insuring you and potential claims d). None of the options provided

[10x2 = 20]

25900780 **B**

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